orcatrade

FOUNDER TERM SHEET

# The principal terms of OrcaTrade Holding Ltd.

*A non-binding deal summary among the founders, forming the basis of the definitive Shareholders' Agreement and Articles of Association.*

| | |
|---|---|
| **Company** | OrcaTrade Holding Ltd (to be incorporated) |
| **Jurisdiction** | England and Wales |
| **Founders** | Oskar Klepuszewski · Arman Sirin · Nigel Lam |
| **Document** | Version 1.0 |
| **Date** | 2026-05-11 |
| **Status** | Non-binding; subject to definitive documents |

## Document status

This Term Sheet records the principal commercial terms agreed between the Founders for the formation and governance of OrcaTrade Holding Ltd (the **“Company”**). Save for the clauses on Confidentiality, Costs, Governing Law, and this Document Status clause, it is **non-binding** and is not intended to give rise to legal obligations between the parties.

The substantive provisions of this Term Sheet are intended to form the basis of (i) the Company’s Articles of Association, (ii) a Shareholders’ Agreement between the Founders and the Company, and (iii) individual Founder Service Agreements — each to be drafted and reviewed by qualified UK counsel before execution.

The Founders acknowledge that this Term Sheet is not legal advice and that each Founder is entitled to (and is advised to) take independent legal advice before signing the definitive documents.

## 1. Parties

| | |
|---|---|
| **Oskar Klepuszewski** | Chief Executive Officer (“CEO”) |
| **Arman Sirin** | Chief Operating Officer (“COO”) |
| **Nigel Lam** | Chief Supply Chain Officer (“CSCO”) |

Each is referred to as a **“Founder”** and together as the **“Founders”**.

## 2. The Company and group structure

### 2.1 The holding company

The Founders shall incorporate **OrcaTrade Holding Ltd** (or such other name as is available on registration with Companies House and acceptable to the Founders) as a private company limited by shares in **England and Wales**.

Choice of England and Wales as the jurisdiction is made for: (i) investor-readiness in advance of the anticipated funding round, (ii) enforceability of the Shareholders’ Agreement under English contract law, and (iii) ease of administering cross-border subsidiaries.

### 2.2 Subsidiaries

The Company shall (subject to timing decided by the Board) procure the formation of the following wholly-owned subsidiaries:

- **OrcaTrade Polska sp. z o.o.** — a Polish limited-liability company, to operate the Warsaw commercial and engineering function.
- **OrcaTrade Asia Ltd** (working name) — a Hong Kong limited company, to operate the Asia-side supply-chain function. Nigel Lam shall be the appointed Director of the Hong Kong subsidiary.

Each subsidiary shall be 100% owned by the Company and shall enter into intra-group services agreements with the Company on arm's-length terms appropriate for transfer-pricing purposes.

## 3. Share capital

### 3.1 Authorised and issued capital

The Company shall have an authorised share capital of **1,000,000 Ordinary Shares** of **£0.0001** each (nominal value), in a single class carrying equal voting, dividend, and capital-distribution rights.

On incorporation, the Company shall issue **1,000,000 ORDINARY SHARES** as follows:

| ALLOCATION | SHARES | % OF ISSUED | HOLDER |
|---|---|---|---|
| Founder allocation — Oskar Klepuszewski | 300,000 | 30.00% | Founder |
| Founder allocation — Arman Sirin | 300,000 | 30.00% | Founder |
| Founder allocation — Nigel Lam | 300,000 | 30.00% | Founder |
| Option Pool (unallocated) | 100,000 | 10.00% | Company (in trust until granted) |
| **Total** | **1,000,000** | **100.00%** | |

Aggregate nominal value of issued share capital: **£100.00**.

### 3.2 The Option Pool

The 100,000 Ordinary Shares reserved as the **"OPTION POOL"** shall be held by the Company (or by a duly-appointed nominee or EMI-scheme trustee) and shall be allocatable by the Board to (i) future employees, (ii) advisors, and (iii) consultants.

Grants from the Option Pool are an Ordinary Matter (simple majority of the Board) up to an individual grant of 5,000 shares; grants above that threshold to any single grantee, or aggregate grants exceeding 25,000 shares in any twelve-month period, are a Reserved Matter (unanimous consent).

The Option Pool is the source of dilution for hires until the first external funding round; from that point forward, expansion of the Option Pool is a Reserved Matter.

### 3.3 Subscription

Each Founder shall subscribe for their Ordinary Shares at the nominal value of £0.0001 per share, paid in cash on or before incorporation:

- Oskar Klepuszewski: 300,000 shares × £0.0001 = **£30.00**
- Arman Sirin: 300,000 shares × £0.0001 = **£30.00**
- Nigel Lam: 300,000 shares × £0.0001 = **£30.00**

### 3.4 Tax election

Each Founder shall execute, jointly with the Company, an election under **SECTION 431 OF THE INCOME TAX (EARNINGS AND PENSIONS) ACT 2003** ("ITEPA 2003") within 14 days of share issuance, electing to be taxed on the unrestricted market value of the shares at issuance. This is to mitigate the risk of future income-tax charges arising on growth of unrestricted-restriction value under the Restricted Securities legislation.

> The s.431 ITEPA election is a critical UK-tax mechanic for founder shares subject to reverse-vesting. It must be filed within 14 days of acquisition. Counsel to confirm form and procedure.

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## 4. Vesting

### 4.1 Vesting Schedule

All Founder shares shall be subject to a **FOUR-YEAR VESTING SCHEDULE WITH A ONE-YEAR CLIFF**:

- **0 to 12 months from the Vesting Commencement Date:** 0% vested (cliff period).
- **At the first anniversary of the Vesting Commencement Date:** 25% (75,000 shares) vests as a single instalment.
- **Months 13 through 48:** the remaining 75% vests in equal monthly instalments of 6,250 shares per Founder per month, so that 100% of each Founder's allocation is fully vested four years after

the Vesting Commencement Date.

The **“VESTING COMMENCEMENT DATE”** is the date of execution of the definitive Shareholders’ Agreement, or such earlier date as may be unanimously agreed by the Founders and recorded in writing.

### 4.2 Reverse vesting

The Founders shall hold full legal and beneficial title to their Ordinary Shares from issuance. The Company shall hold a **repurchase right** (the **“Repurchase Right”**) over each Founder’s **Unvested Shares**, exercisable at the nominal value of £0.0001 per share on the earlier of:

- the Founder’s Cessation Date (as defined in §5); or
- a unanimous resolution of the other Founders to exercise the Repurchase Right in circumstances triggering Bad Leaver treatment.

Unvested Shares carry full voting and dividend rights during the vesting period (i.e., they are not “phantom”). The Founder retains the economic and voting benefit of all issued shares until and unless the Repurchase Right is exercised.

### 4.3 Acceleration

The Vesting Schedule shall accelerate as follows:

- **Single-trigger (50% acceleration):** on completion of a Sale, Listing, or other Change of Control of the Company, 50% of each Founder’s then-Unvested Shares shall vest immediately on completion.
- **Double-trigger (100% acceleration):** if, within 12 months following a Change of Control, a Founder is terminated without Cause or resigns for Good Reason (each as defined in the Shareholders’ Agreement), 100% of that Founder’s then-Unvested Shares shall vest.

> Acceleration mechanics are commonly negotiated by acquirers in a Sale and should be drafted with that in mind. A 50% single-trigger is moderate; some founders prefer full single-trigger, which sophisticated acquirers will push back on.

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## 5. Good Leaver and Bad Leaver

### 5.1 Cessation

A Founder is treated as having ceased to be involved with the Company (the **“CESSATION DATE”**) on the earliest of:

- death;
- permanent disability (as certified by an independent medical practitioner);
- voluntary resignation;
- termination of the Founder's Service Agreement by the Company;
- material breach of this Term Sheet, the Shareholders' Agreement, or the Founder's Service Agreement, not cured within 30 days of written notice; or
- by unanimous resolution of the other Founders (subject to procedural protections to be specified in the Shareholders' Agreement).

### 5.2 Good Leaver

A Founder is a **"GOOD LEAVER"** if Cessation arises by reason of:

- death or permanent disability;
- termination by the Company without Cause;
- a material breach of the Company's obligations to the Founder not cured within 30 days; or
- resignation for Good Reason (constructive dismissal, material reduction in role, relocation without consent, etc., as defined in the Service Agreement).

Treatment on Good Leaver Cessation:

- **Vested Shares:** retained by the Good Leaver at full value.
- **Unvested Shares:** repurchased by the Company at nominal value (£0.0001 per share).

### 5.3 Bad Leaver

A Founder is a **"BAD LEAVER"** if Cessation arises by reason of:

- voluntary resignation before the fourth anniversary of the Vesting Commencement Date (unless re-characterised as Good Leaver by unanimous resolution of the other Founders);
- summary dismissal for gross misconduct;
- material breach of restrictive covenants (§11);
- breach of fiduciary duty as a director, fraud, or dishonesty; or
- conviction of any criminal offence other than a minor motoring offence.

Treatment on Bad Leaver Cessation:

- **Vested Shares:** repurchased by the Company at the lower of (i) nominal value (£0.0001 per share) and (ii) fair market value as determined by an independent valuer instructed by the Company.
- **Unvested Shares:** repurchased by the Company at nominal value (£0.0001 per share).

### 5.4 Determination of leaver status

The status of a departing Founder shall be determined by **UNANIMOUS RESOLUTION OF THE REMAINING FOUNDERS**. A Founder whose status is being determined shall not vote on that determination. In the event of a deadlock between the two remaining Founders, the matter shall be referred to the dispute-resolution procedure in §9.

> The default “Vested Shares forfeited on Bad Leaver” treatment is enforceable in English law but must be drafted carefully to survive the rule against penalties. Counsel may prefer a “Bad Leaver = repurchase at par for both vested and unvested” model. Either is defensible.

## 6. Board of Directors

### 6.1 Initial composition

The Board shall comprise three directors, with each Founder being entitled to appoint themselves as a director:

- Oskar Klepuszewski (CEO);
- Arman Sirin (COO);
- Nigel Lam (CSCO).

### 6.2 Quorum

The quorum for any Board meeting is two directors, of whom one must be the CEO unless the CEO has consented in writing to a meeting in their absence.

### 6.3 Voting

Each director has one vote. Board decisions on Ordinary Matters (§8) are taken by simple majority. Reserved Matters (§7) require unanimous Board consent.

### 6.4 Chairman and casting vote

Oskar Klepuszewski shall serve as Chairman of the Board. The Chairman does **NOT** have a casting vote — deadlocks are resolved pursuant to §9.

### 6.5 Board meetings

The Board shall meet at least once per calendar quarter. Meetings may be held in person, by video conference, or by written resolution circulated and signed by all directors.

## 7. Reserved Matters (unanimous consent)

The following matters require the **UNANIMOUS CONSENT OF ALL FOUNDERS** (whether acting as directors at Board level or as shareholders at general meeting). No action falling within this list shall be taken without such consent:

### 7.1 Corporate structure

- (a) Amendment of the Articles of Association, the Shareholders' Agreement, or this Term Sheet.
- (b) Change of the Company's name, registered office, or country of incorporation.
- (c) Reorganisation, merger, demerger, scheme of arrangement, or other restructuring.
- (d) Wind-up, liquidation, or voluntary dissolution of the Company or any subsidiary.

### 7.2 Capital and shareholders

- (e) Issuance, allotment, redemption, repurchase, or cancellation of any shares (other than allotments from the Option Pool below the Ordinary-Matter threshold in §3.2).
- (f) Creation of any new class of shares or alteration of rights attaching to existing shares.
- (g) Expansion of the Option Pool beyond 100,000 shares.
- (h) Declaration or payment of any dividend.
- (i) Approval of any related-party transaction.

### 7.3 Strategic and material commercial

- (j) Sale of the Company, sale of all or substantially all of its business or assets, or any Change of Control.
- (k) Listing of any shares on any public market (IPO).
- (l) Acquisition of any business, asset, or shareholding in another entity for consideration in excess of £25,000.
- (m) Entry into any joint venture, partnership, or strategic alliance.
- (n) Material change to the Company's business plan or scope of activity.
- (o) Transfer of the Company's headquarters or principal place of business.

### 7.4 Financial

- (p) Approval of the Company's annual budget (including the subsidiaries').

- (q) Capital expenditure or commitment in excess of £25,000 outside the approved budget.
- (r) Incurring any indebtedness, including bank borrowing, in excess of £50,000 in aggregate.
- (s) Granting of any security, mortgage, charge, or guarantee over the Company's assets.
- (t) Initiation or settlement of any litigation, arbitration, or regulatory proceeding involving a sum in excess of £25,000.

### 7.5 People

- (u) Appointment, removal, or replacement of any director or company secretary.
- (v) Appointment or removal of auditors.
- (w) Appointment or termination of any executive at C-suite level or with annual compensation exceeding £80,000.
- (x) Approval of, or material change to, the compensation of any Founder (see §12).

### 7.6 Intellectual property

- (y) Grant of any exclusive licence over Company intellectual property.
- (z) Assignment, sale, or other transfer of any material Company intellectual property.

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## 8. Ordinary Matters (simple majority)

All matters not listed as Reserved Matters in §7 are **ORDINARY MATTERS** and shall be decided by simple majority of the Board (or, where applicable, of the shareholders), including:

- Day-to-day operational and commercial decisions within the approved budget;
- Hiring, performance management, and termination of employees below the C-suite threshold in §7.5(w);
- Marketing, advertising, and content spend within the approved budget;
- Entry into customer, supplier, and partner contracts on the Company's standard terms or within delegated authority;
- Routine accounting, tax, and statutory filings;
- Operational procurement (office, software, services) within budget;
- Allocation of Option Pool grants below the threshold in §3.2.

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## 9. Deadlock resolution

In the event of a deadlock between the Founders on any matter (a **"DEADLOCK"**), the following three-stage procedure shall apply.

### 9.1 Stage 1 — Cooling-off period

Any Founder may serve a **“Deadlock Notice”** in writing on the other Founders specifying the matter in dispute. From service of the Deadlock Notice, a **cooling-off period of fourteen (14) calendar days** shall apply, during which the Founders shall meet in good faith (in person or by video conference) to attempt to resolve the matter. The CEO shall convene the first such meeting within seven days of the Deadlock Notice.

### 9.2 Stage 2 — CEDR mediation

If the Deadlock is not resolved by the end of the cooling-off period, the Founders shall refer the matter to

## NON-BINDING MEDIATION UNDER THE MODEL MEDIATION PROCEDURE OF THE CENTRE FOR EFFECTIVE DISPUTE RESOLUTION (CEDR)

, London. Mediation shall commence within thirty (30) calendar days of the end of the cooling-off period. The Founders shall share the costs of mediation equally.

### 9.3 Stage 3 — Texas Shoot-Out

If the Deadlock is not resolved within thirty (30) calendar days of the commencement of mediation, any Founder (the **“Triggering Founder”**) may serve a notice (the **“Shoot-Out Notice”**) on the other two Founders (the **“Receiving Founders”**) offering to buy all of the Receiving Founders’ shares at a specified per-share price (the **“Specified Price”**).

Within thirty (30) calendar days of the Shoot-Out Notice, the Receiving Founders shall, by joint written notice, elect either:

- (a) to **sell** all their Ordinary Shares to the Triggering Founder at the Specified Price; or
- (b) to **buy** all of the Triggering Founder’s Ordinary Shares at the Specified Price, in which case the Receiving Founders shall acquire the shares in equal proportions (or in such other proportions as they may agree).

If the Receiving Founders do not deliver an election notice within the thirty-day period, they shall be deemed to have elected to sell under (a).

If the Receiving Founders disagree among themselves on whether to elect (a) or (b), the matter shall be resolved by the Receiving Founder willing to proceed with option (b) acquiring all of the relevant shares (their own pro rata share and the other Receiving Founder’s pro rata share).

Completion of any sale and purchase under this §9.3 shall take place within sixty (60) calendar days of the election (or deemed election), at which point the exiting Founder shall: resign from all offices, return all Company property and Confidential Information, and remain bound by the restrictive covenants in §11.

The Texas Shoot-Out is a powerful and intentionally severe mechanism. It is enforceable under English law but should be drafted with care: (i) the "Specified Price" must apply to all shares of the same class on the same terms; (ii) the trigger requires the prior steps to have been genuinely exhausted; and (iii) the mechanic can be subject to good-faith argument in litigation. Some founders prefer Russian Roulette (single counter-offer) or a Dutch Auction (sealed bids). The Founders should discuss alternatives with counsel before signing the definitive Shareholders' Agreement.

## 10. Transfer restrictions

### 10.1 General restriction

No Founder may transfer, sell, gift, charge, or otherwise dispose of any Ordinary Shares except in accordance with this §10.

### 10.2 Permitted Transfers

A Founder may transfer Ordinary Shares without triggering pre-emption to a **"PERMITTED TRANSFEREE"**, being:

- (a) a wholly-owned holding company of the Founder;
- (b) a trust under which the Founder and members of the Founder's immediate family are the only beneficiaries; or
- (c) on the Founder's death, the Founder's executors and personal representatives.

Any Permitted Transferee must, as a condition of the transfer, execute a deed of adherence to the Shareholders' Agreement.

### 10.3 Pre-emption (right of first refusal)

If a Founder (the **"TRANSFERRING FOUNDER"**) receives a bona fide third-party offer for any Ordinary Shares (other than a Permitted Transfer), the Transferring Founder shall first offer those shares to the other Founders pro rata to their existing holdings, on the same terms and at the same price as the third-party offer.

The other Founders shall have **THIRTY (30) CALENDAR DAYS** from receipt of the offer notice to accept (in whole or in part). Any shares not taken up may be offered to the third party within ninety (90) calendar days of expiry of the offer period, on terms no more favourable to the third party than those offered to the Founders.

### 10.4 Tag-Along

If, following exhaustion of pre-emption, a Transferring Founder proposes to sell Ordinary Shares representing 10% or more of the issued share capital to a third party (the **"PROPOSED TRANSFEREE"**), the other Founders shall have the right (but not the obligation) to require the Proposed Transferee to purchase a proportionate number of their own Ordinary Shares on the same terms.

### 10.5 Drag-Along

If Founders together holding **at least 66.67%** of the issued Ordinary Shares (the **"Dragging Shareholders"**) wish to accept a bona fide offer from a third party for **100%** of the Ordinary Shares of the Company, they may by written notice (a **"Drag-Along Notice"**) require all other shareholders (including any Option Pool grantees and Permitted Transferees) to sell their Ordinary Shares on the same terms and at the same price.

The Drag-Along right is exercisable only on a bona fide arm's-length sale to a Proposed Transferee that is not a Dragging Shareholder or a connected person of a Dragging Shareholder.

> A 66.67% drag threshold means any two Founders together can compel a sale. This is the natural consequence of the 33.3% × 3 structure. The Founders should be comfortable that majority drag is acceptable in principle before signing.

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## 11. Intellectual property and restrictive covenants

### 11.1 Founder IP assignment

On execution of the Shareholders' Agreement (or on issuance of shares, whichever is earlier), each Founder shall assign to the Company, with full title guarantee, all right, title, and interest in:

- (a) all Intellectual Property created by the Founder on or before the Vesting Commencement Date that relates to or is used in the Business; and
- (b) all Intellectual Property created by the Founder during the term of the Founder's engagement that relates to or is used in the Business.

"Intellectual Property" includes: source code, designs, technical specifications, brand assets, trade marks, domain names, customer data, supplier contacts, regulatory and compliance databases, calculator algorithms and models, agent system prompts, content libraries (guides, examples, dossiers), trade-secret know-how, and any other rights of a similar nature.

A Schedule to the Shareholders' Agreement shall list any pre-existing Founder IP that is **not** assigned (the **"Excluded IP"**); anything not listed is presumed assigned.

### 11.2 Restrictive covenants

For a period of **twelve (12) months** following a Founder's Cessation Date (the **"Restricted Period"**), the Founder shall not, directly or indirectly:

- (a) **Non-compete** — engage in, or have any financial interest in, any business that competes with the Company's business of providing import/export, supply-chain, compliance, or freight-coordination services targeting European SME importers from Asia, within the United Kingdom, the European Economic Area, Switzerland, or Hong Kong.
- (b) **Non-solicit (employees)** — solicit, induce, or attempt to induce any employee, director, or contractor of the Company to leave their employment or engagement with the Company.
- (c) **Non-solicit (customers)** — solicit any customer, prospective customer, or counterparty with whom the Company has had a commercial relationship in the twelve months preceding the Cessation Date.
- (d) **Non-deal** — accept business from or transact with any such customer in competition with the Company.
- (e) **Confidentiality** — disclose or use any Confidential Information of the Company (this obligation is perpetual and survives indefinitely).

Each Founder acknowledges that the restrictions are reasonable in scope and duration given the nature of the Business and the Founder's position. The restrictions in (a)–(d) are severable; if any is held unenforceable in any jurisdiction, the remaining restrictions shall continue in full force.

> UK courts apply a strict reasonableness test to post-termination restrictive covenants (the Mason / TFS Derivatives / Tillman line of authority). Twelve months is at the upper end of typically-enforceable durations; counsel should consider whether the scope (UK/EEA/Switzerland/HK) is defensible given the Company's actual market. A "blue pencil" provision should be included.

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## 12. Founder compensation

### 12.1 Initial period — deferred compensation

From the Vesting Commencement Date until the **"COMPENSATION TRIGGER"** (defined in §12.2), no Founder shall receive any salary, fees, dividend, or other remuneration from the Company. Each Founder shall be entitled to reimbursement of reasonable, vouched expenses incurred in the course of their duties, subject to the Board's expense policy and prior approval for any single expense exceeding £1,000.

This deferral reflects the early-stage cash discipline necessary to extend runway pre-funding and to maximise the credibility of the cap table on first external raise.

### 12.2 The Compensation Trigger

The **"COMPENSATION TRIGGER"** occurs on the earliest of:

- (a) the Company achieving **£150,000** in aggregate revenue over any rolling twelve-month period; or
- (b) the Company closing an external funding round of **at least £250,000** (or equivalent in EUR/USD/HKD at prevailing exchange rates) in committed and called capital.

### 12.3 Compensation after the Compensation Trigger

After the Compensation Trigger, the compensation of each Founder shall be determined by the Board. Approval of any Founder's compensation (initial level, increases, bonus, equity, or non-cash benefits) is a **RESERVED MATTER** requiring unanimous consent under §7.5(x).

The Founders intend that initial compensation, post-Trigger, shall be at a level that is (i) reasonable for the role and stage, (ii) consistent across the three Founders adjusted for time commitment, and (iii) sustainable against the Company's then-current cash runway.

### 12.4 Time commitment

Each Founder shall devote such time and attention to the Business as is reasonably required to discharge their duties. The Founders acknowledge that, prior to the Compensation Trigger, time commitment may vary by Founder and shall be agreed between them in good faith. From the Compensation Trigger onwards, time commitment shall be set out in each Founder's Service Agreement (Reserved Matter).

> Deferred compensation arrangements should be reviewed against HMRC's treatment of "money's worth" benefits and the National Minimum Wage (which applies to "workers" but generally not to founder-directors of their own private companies). The Service Agreements should be drafted in a form consistent with director status, not employee status, to mitigate NMW risk during the deferral period.

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## 13. Confidentiality

Each Founder shall hold in strict confidence, and shall not disclose to any third party except as required by law or as agreed by the Board, any information relating to the business, finances, operations, customers, suppliers, employees, or affairs of the Company that is non-public.

This obligation is binding from the date of this Term Sheet and survives indefinitely, including beyond the Cessation Date.

# 14. Governing law and dispute resolution

## 14.1 Governing law

This Term Sheet, and the definitive documents anticipated by it, shall be governed by and construed in accordance with the **LAWS OF ENGLAND AND WALES**.

## 14.2 Arbitration

Subject to §14.3, any dispute, controversy, or claim arising out of or in connection with this Term Sheet (or the definitive documents) shall be referred to and finally resolved by arbitration under the **RULES OF THE LONDON COURT OF INTERNATIONAL ARBITRATION ("LCIA")**, which Rules are deemed incorporated by reference.

- **Seat of arbitration:** London, England.
- **Language of arbitration:** English.
- **Number of arbitrators:** one (sole arbitrator) where the amount in dispute is less than £500,000; three arbitrators above that threshold.

## 14.3 Carve-out for interim relief

Notwithstanding §14.2, either party may apply to any court of competent jurisdiction for interim or injunctive relief, including in respect of confidentiality, restrictive covenants, or pre-emptive transfer of shares.

## 14.4 Deadlock procedure prevails

The dispute-resolution procedure in §9 (Deadlock Resolution) shall apply in preference to this §14 where the dispute is a Deadlock between Founders on a Reserved Matter or other governance question. Failure of the §9 procedure shall not preclude subsequent reference to arbitration under §14.2 in respect of breach of the §9 procedure itself or of the definitive documents.

# 15. Costs and expenses

## 15.1 Negotiation

Each Founder shall bear their own costs incurred in negotiating and signing this Term Sheet.

### 15.2 Incorporation and definitive documents

The costs of (i) incorporating the Company and its subsidiaries, (ii) drafting and negotiating the Articles of Association and Shareholders' Agreement, and (iii) drafting each Founder's Service Agreement, shall be borne by the Company, subject to an aggregate cap of **£15,000** (or such higher amount as the Founders unanimously agree).

### 15.3 Solicitor of record

The Founders shall jointly select a single firm of UK solicitors to act for the Company in the formation phase. Each Founder retains the right to take independent legal advice on the definitive documents at their own cost.

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## 16. Binding and non-binding provisions

### 16.1 Non-binding nature

Save as provided in §16.2, this Term Sheet records the Founders' intentions and is **NON-BINDING**. No legal obligations between the Founders shall arise solely by virtue of signing this Term Sheet.

### 16.2 Binding provisions

The following provisions are intended to be **BINDING** on signature:

- §13 (Confidentiality);
- §14 (Governing Law and Dispute Resolution);
- §15 (Costs and Expenses);
- §16 (this clause);
- §17 (Exclusivity).

### 16.3 Definitive documents

The Founders shall use reasonable efforts in good faith to (i) instruct solicitors within 30 days of signature, and (ii) execute the definitive Articles of Association, Shareholders' Agreement, and Founder Service Agreements within 90 days of signature, in each case reflecting the principal commercial terms in this Term Sheet.

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## 17. Exclusivity

For a period of **ninety (90) calendar days** from the date of signature of this Term Sheet (the **"Exclusivity Period"**), no Founder shall enter into discussions or agreements with any third party regarding the formation of, or the Founder's participation in, any business that would materially compete with the Business contemplated by this Term Sheet.

This clause is binding under §16.2.

## 18. Entire understanding and amendment

This Term Sheet supersedes all prior discussions and understandings between the Founders relating to the matters set out herein. It may be amended only by a written instrument signed by all three Founders.

## Execution

The Founders, intending to record their agreement in principle to the terms set out above and to proceed in good faith to the definitive documents, sign below:

### OSKAR KLEPUSZEWSKI

Signature: __________

Date: ____

Address: ______________

### ARMAN SIRIN

Signature: __________

Date: ____

Address: ______________

### NIGEL LAM

Signature: _________

Date: ____

Address: ______________

## Solicitor checklist (for handover to UK counsel)

The following items in this Term Sheet warrant particular attention on conversion to definitive documents:

1. **s.431 ITEPA 2003 election** — confirm form, signatories, and 14-day filing deadline (§3.4).
2. **Reverse-vesting structure** — confirm Repurchase Right is drafted as a contractual right of the Company, not a forfeiture provision (§4.2).
3. **Acceleration on Sale** — confirm 50% single-trigger + 100% double-trigger is consistent with acquirer expectations in a Series A/seed-extension context (§4.3).
4. **Bad Leaver share treatment** — confirm "lower of par or FMV" model survives the penalties rule (§5.3).
5. **Restrictive covenants** — confirm 12-month duration and geographic scope (UK/EEA/Switzerland/HK) are enforceable under the reasonableness test; include a blue-pencil clause (§11.2).
6. **Texas Shoot-Out** — confirm enforceability and consider whether Russian Roulette or sealed-bid Dutch Auction is preferable for this cap table (§9.3).
7. **Deferred compensation** — confirm Service Agreements are drafted in director (not worker) form to mitigate NMW risk pre-Trigger (§12).
8. **HK subsidiary** — confirm director responsibilities, statutory minimum capital, and Significant Controllers Register obligations for Nigel Lam.
9. **Polish sp. z o.o.** — confirm management-board structure and the intra-group services agreement.
10. **Intra-group transfer pricing** — confirm services agreements between the holding company and subsidiaries are at arm's length for HMRC, KAS (Poland), and IRD (Hong Kong) purposes.